Accounting Rules & UAE FTA Regulations

PART 1 — CORE ACCOUNTING RULES (Engine-Level Logic)

These are the universal bookkeeping and financial-reporting rules the software's ledger engine must enforce regardless of jurisdiction, organized from foundational bookkeeping mechanics through to full IFRS-level reporting rules.

1.1 Fundamental Principles & Concepts

- **Double-entry rule**: every transaction posts to at least two accounts; total debits must equal total credits in every journal entry (hard validation — no unbalanced entry should ever be allowed to save).
- **Accounting equation**: Assets = Liabilities + Equity, must hold true after every posting.
- **Accrual basis**: revenue and expenses are recorded when earned/incurred, not when cash moves (default mode; allow cash-basis toggle only for eligible small businesses where legally permitted).
- **Going concern**: assume continued operation unless there is evidence otherwise; if management intends liquidation or has no realistic alternative, statements must switch to a break-up basis and disclose this.
- **Consistency**: accounting policies and presentation must be applied consistently period over period; any change must be disclosed with a reason and, where material, retrospective restatement.
- **Matching / accrual concept**: expenses recognized in the same period as the revenue they help generate.
- **Prudence**: assets and income are not overstated, liabilities and expenses are not understated — but prudence does not permit deliberate understatement of assets or overstatement of liabilities either (neutrality).
- **Materiality**: information is material if omitting or misstating it could influence users' decisions; the system should support configurable materiality thresholds per entity size.
- **Substance over form**: transactions are recorded according to their economic substance, not merely their legal form (critical for leases, related-party deals, and revenue arrangements).
- **Business entity concept**: the business is accounted for separately from its owners — owner drawings/personal expenses must never be posted to business P&L accounts without reclassification.
- **Monetary unit & stable measuring unit**: transactions recorded in a single functional currency; only quantifiable items are recognized in the ledger (non-quantifiable items go to disclosures/notes, not the trial balance).
- **Historical cost vs. fair value**: default to historical cost for PP&E and most assets, with revaluation/fair-value modules for financial instruments, investment property, and biological assets where the applicable standard requires or permits it.

1.2 Chart of Accounts (COA) Rules

- Standard 5 major classes: **Assets, Liabilities, Equity, Income, Expenses**, each with sub-ledgers (e.g., Assets → Current Assets → Cash & Bank, Trade Receivables, Inventory, Prepayments; Non-Current Assets → PP&E, Intangibles, Investments).
- Each account needs: unique code, type, normal balance side (Dr/Cr), currency, tax code mapping (VAT/CT category), cost-center/department tag (optional), active/inactive flag.
- COA should be extensible per entity but map to a standard template for group consolidation and comparability.
- Control accounts (AR, AP, VAT payable/recoverable, Corporate Tax payable, Payroll payable) must reconcile to sub-ledger detail automatically — control account balance must always equal the sum of the underlying sub-ledger.
- Suspense/clearing accounts must be zero at period-end; any residual balance blocks period close until resolved or explicitly justified.

1.3 Journal Entry & Posting Rules

- Every entry requires: date, reference/document number, description, at least one debit and one credit line, posting user ID, timestamp (immutable audit trail).
- **No hard deletes** — corrections must be via reversing/adjusting entries, never overwritten, to preserve audit trail.
- Standard entry types the engine must support natively: sales invoice, purchase invoice, cash receipt, cash payment, bank transfer, payroll journal, accrual, prepayment amortization, depreciation, foreign-exchange revaluation, inventory adjustment, provision/write-off, inter-company, and year-end closing/opening entries.
- Recurring/template journals (e.g., monthly rent accrual) should be schedulable but still require review before posting unless explicitly marked auto-post by an authorized user.
- Period locking: once a period is closed/filed (e.g., after a VAT return submission), prevent backdated postings unless done via an explicit "prior period adjustment" workflow with re-approval and disclosure flag.
- Multi-currency: every foreign-currency transaction must record the transaction currency, exchange rate used, rate source/date, and the functional-currency equivalent; realized and unrealized FX gains/losses must be posted separately and revalued at each period-end (IAS 21 rules — see 1.13).

1.4 Accounts Receivable Rules

- Invoice numbering must be sequential and gapless (a regulatory requirement in many jurisdictions, including the UAE).
- Revenue recognized on invoice per the 5-step model (see 1.11), not automatically on cash receipt.
- Aging buckets: current, 1–30, 31–60, 61–90, 90+ days, refreshed at least daily.
- Credit notes must reference the original invoice; cannot exceed the remaining invoice balance.
- Expected Credit Loss (ECL) provisioning (IFRS 9 simplified approach for trade receivables): the system should maintain a provision matrix by aging bucket and update the allowance for doubtful debts each period, rather than only writing off receivables when uncollectible is certain.

- Bad debt write-off requires a documented policy trigger (age + amount thresholds) before automated suggestion; write-off is a separate approved transaction from the ECL provision entry.

1.5 Accounts Payable Rules

- Three-way match validation where applicable: purchase order, goods-received note, and supplier invoice quantities/amounts should reconcile before an invoice is approved for payment.
- Duplicate invoice detection (same supplier, amount, and date/reference) before posting.
- Aging buckets mirrored from AR for payables to support cash-flow forecasting.
- Accrued but unbilled liabilities (goods/services received, invoice not yet arrived) must be accrued at period-end, not left off the books.

1.6 Payroll & Employee Benefits Rules (IAS 19 principles)

- **Short-term benefits** (salaries, allowances, paid leave, bonuses expected to settle within 12 months): expensed as employees render service, with a corresponding accrual for unpaid amounts at period-end.
- **Accrued leave/annual leave liability**: must be accrued based on unused entitlement at the reporting date, not expensed only on payout.
- **End-of-service/termination benefits (e.g., UAE gratuity)**: accrued progressively over the employee's service period based on the statutory or contractual formula, not expensed as a lump sum only on the employee's exit — this is a long-term employee benefit liability that must build up on the balance sheet monthly/annually.
- **Defined contribution plans** (e.g., pension contributions for GCC-national employees where applicable): expensed as contributions fall due.
- Payroll journal must split gross salary, employer statutory contributions, employee deductions, and net pay, posting each to the correct control account (salaries expense, payroll tax/pension payable, net pay payable/bank).
- Support for **Wage Protection System (WPS)**-style salary file exports where the jurisdiction (e.g., UAE) mandates bank-verified salary disbursement.

1.7 Fixed Assets & Depreciation Rules (IAS 16 + Zoho Books-style module behavior)

- Capitalization threshold configurable per entity; below-threshold purchases expensed immediately.
- Initial recognition at cost: purchase price plus directly attributable costs to bring the asset to working condition (freight, installation, non-recoverable taxes), less any trade discounts.
- **Depreciation methods to support** (matching Zoho Books' Fixed Assets module): **Straight-Line Method (SLM)** and **Declining Balance / Written Down Value (WDV)**, each configurable by depreciation **frequency** (monthly or yearly) and **computation basis** (full-period or pro-rata from the exact purchase/start date).
- Component depreciation: significant parts of an asset with materially different useful lives (e.g., a building's roof vs. structure) should be depreciated separately if material.

- Residual/salvage value and useful life must be reviewed at least annually; changes are accounted for as a change in accounting estimate (prospective), not a prior-period error.
- Asset register must track: asset name/ID, category, cost, accumulated depreciation, net book value, useful life (in months), depreciation method, depreciation start date, location/custodian, warranty expiry, disposal date/proceeds, gain/loss on disposal — with an asset-level depreciation forecast/schedule viewable before it is posted.
- Subsequent expenditure: capitalize only if it enhances the asset's future economic benefits beyond original assessment; otherwise expense as repairs and maintenance.
- **Automatic period-end depreciation posting**: the system should auto-generate the depreciation journal each period (Dr. Depreciation Expense / Cr. Accumulated Depreciation) per the schedule, with the option for the user to review before posting rather than a fully silent auto-post, mirroring how Zoho Books lets you preview the depreciation schedule before entries hit the books.
- **Disposal handling**: support sale, write-off, and scrapping as distinct transaction types, each computing gain/loss automatically (see formula 3.2) and removing the asset from the active register while retaining full history.
- **Revaluation (if the entity uses the revaluation model instead of cost model)**: any upward revaluation goes to a revaluation surplus in OCI/equity (unless reversing a prior downward revaluation through P&L); downward revaluation goes to P&L (unless reversing a prior surplus).
- Impairment review triggers (see 1.10) apply to fixed assets whenever indicators of impairment exist.

1.8 Intangible Assets Rules (IAS 38)

- Recognized only if identifiable, controlled by the entity, and expected to generate future economic benefits, and cost can be measured reliably.
- **Internally generated goodwill and brands are never capitalized.**
- Research costs: always expensed as incurred.
- Development costs: capitalized only once technical feasibility, intent, ability to use/sell, and reliable cost measurement are all demonstrated; costs before that point are expensed and cannot be reinstated retroactively.
- Amortize over useful life if finite; if indefinite useful life (e.g., certain licenses/trademarks), do not amortize but test for impairment at least annually.

1.9 Inventory Rules (IAS 2)

- Costing methods: FIFO or weighted average (LIFO is **not** permitted under IFRS).
- Cost includes purchase price, import duties, and other directly attributable costs, less rebates/discounts; excludes abnormal waste, storage costs (unless part of production process), and selling costs.
- **Lower of cost and net realizable value (NRV)** rule: inventory must be written down whenever NRV falls below cost, reversed in a later period only up to the original cost if NRV recovers.
- Perpetual vs periodic tracking — perpetual recommended for AI-driven real-time COGS and margin analysis.
- Physical stock counts should reconcile to the perpetual ledger at least at each period/year-end, with variances posted as inventory adjustments (investigated, not silently absorbed).

1.10 Impairment of Assets Rules (IAS 36)

- At each reporting date, assess whether indicators of impairment exist (external: market value decline, adverse economic/technological changes; internal: obsolescence, physical damage, worse-than-expected performance).
- If indicators exist, estimate recoverable amount = higher of fair value less costs to sell and value in use (discounted future cash flows).
- Impairment loss = carrying amount − recoverable amount, expensed immediately (except for revalued assets, where it first reduces any revaluation surplus).
- Goodwill and indefinite-life intangibles: tested for impairment at least annually regardless of indicators.
- Reversal of impairment losses permitted for most assets (not goodwill) if circumstances change, capped at the amount the asset would have been carried at absent the original impairment.

1.11 Revenue Recognition Rules (IFRS 15 — 5-Step Model)

The engine's revenue module should implement this model rather than simply recognizing revenue on invoice date by default:

1. **Identify the contract** with the customer (enforceable rights and obligations).
2. **Identify performance obligations** — distinct goods/services promised.
3. **Determine the transaction price**, including variable consideration, discounts, and financing components.
4. **Allocate the transaction price** to each performance obligation based on standalone selling prices.
5. **Recognize revenue** as (or when) each performance obligation is satisfied — over time (e.g., long-term contracts, subscriptions) or at a point in time (e.g., goods delivered).

- Contract assets/liabilities (unbilled revenue / deferred/unearned revenue) must be tracked separately from trade receivables.
- Variable consideration (discounts, rebates, refunds, penalties) estimated and constrained to the amount highly probable not to reverse.
- Principal vs. agent assessment determines whether revenue is recognized gross or net (relevant for marketplaces/commission models).

1.12 Leases Rules (IFRS 16)

- **Lessee accounting**: recognize a right-of-use (ROU) asset and a corresponding lease liability at the present value of future lease payments for (almost) all leases, rather than treating operating leases as pure rent expense. Short-term leases (≤12 months) and low-value asset leases may be expensed on a straight-line basis instead.
- ROU asset depreciated (typically straight-line) over the lease term or useful life; lease liability accreted using the interest method and reduced by payments made, splitting each payment into interest and principal.
- Lease modifications (term extension, scope change) trigger remeasurement of the liability and corresponding adjustment to the ROU asset.
- **Lessor accounting**: classify each lease as finance or operating based on risk/reward transfer; finance leases derecognize the underlying asset and recognize a receivable,

operating leases keep the asset on the lessor's books and recognize rental income on a straight-line basis.

1.13 Foreign Currency Rules (IAS 21)

- Each transaction recorded in the functional currency using the spot rate at the transaction date.
- **Monetary items** (cash, receivables, payables) retranslated at the closing rate at each reporting date; resulting exchange differences go to profit or loss.
- **Non-monetary items** carried at historical cost are not retranslated; those carried at fair value are retranslated using the rate at the date fair value was determined.
- Foreign operations consolidated using the closing rate for assets/liabilities and average rate for income/expenses, with resulting translation differences taken to other comprehensive income (foreign currency translation reserve), not P&L.

1.14 Provisions, Contingent Liabilities & Contingent Assets (IAS 37)

- **Provision** recognized only when: (a) there is a present obligation (legal or constructive) from a past event, (b) an outflow of resources is probable, and (c) the amount can be estimated reliably. All three conditions must be met — the system should not let a "provision" be posted without this validation logic.
- **Contingent liability**: disclosed in notes only (not recognized on the balance sheet) if the obligation is possible but not probable, or cannot be reliably measured.
- **Contingent asset**: disclosed only if probable, never recognized until realization is virtually certain.
- Provisions reviewed and remeasured at each reporting date; unwinding of discount (for long-term provisions) recognized as a finance cost.

1.15 Financial Instruments Rules (IFRS 9, high-level)

- Classification of financial assets: amortized cost, fair value through OCI, or fair value through P&L, based on the business model and contractual cash flow characteristics.
- Expected Credit Loss (ECL) impairment model applies to financial assets at amortized cost and debt instruments at FVOCI, including trade receivables (see 1.4) — a forward-looking provisioning approach rather than an "incurred loss" model.
- Hedge accounting (if used) requires formal designation, documentation, and effectiveness testing at inception and each reporting date.

1.16 Accounting Policies, Estimates & Errors (IAS 8)

- **Change in accounting policy**: applied retrospectively (restate prior periods) unless a standard specifies otherwise or it is impracticable.
- **Change in accounting estimate** (e.g., useful life, provision amount, ECL rate): applied prospectively from the period of change onward — no restatement of prior periods.
- **Prior period errors**: corrected retrospectively by restating comparative figures, with disclosure of the nature and impact of the error — never silently absorbed into the current period's results.

1.17 Related Party Disclosures (IAS 24)

- Identify and flag related parties: parent/subsidiary/associate entities, key management personnel, close family members of key management, and entities under common control/significant influence.
- All related-party transactions (pricing, terms, outstanding balances) must be tagged distinctly in the ledger for disclosure purposes and arm's-length assessment (this also feeds UAE Corporate Tax transfer pricing disclosure — see Part 2.4).

1.18 Consolidation & Business Combinations (IFRS 10 / IFRS 3, where applicable)

- Consolidate any entity the parent controls (power over investee + exposure to variable returns + ability to affect those returns), not merely majority-owned entities.
- Eliminate intercompany balances, transactions, and unrealized profits on consolidation.
- Business combinations accounted for under the acquisition method: identifiable assets/liabilities at fair value, non-controlling interest measured at fair value or proportionate share, goodwill = consideration transferred + NCI − net identifiable assets acquired (impairment-tested annually, never amortized).

1.19 Presentation of Financial Statements (IAS 1) & Statement of Cash Flows (IAS 7)

- A complete set of financial statements: Statement of Financial Position, Statement of Profit or Loss and Other Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows, and Notes (including significant accounting policies).
- Current/non-current classification required on the balance sheet unless a liquidity presentation is more relevant.
- Statement of Cash Flows split into Operating, Investing, and Financing activities; operating section may use the direct or indirect method (indirect is more common and easier to auto-generate from the ledger by reversing non-cash items out of net profit).
- Comparative prior-period figures required for all primary statements and most notes.
- Events after the reporting period (IAS 10): adjusting events (existed at period-end) update the financial statements; non-adjusting events (arose after period-end) are disclosed only, not recognized in the figures.

1.20 Earnings Per Share & Segment Reporting (where applicable to the entity)

- **EPS (IAS 33)**: basic EPS = profit attributable to ordinary shareholders ÷ weighted average ordinary shares outstanding; diluted EPS additionally reflects potential dilutive instruments (options, convertibles) — relevant mainly for listed entities but useful as an optional module.
- **Segment reporting (IFRS 8)**: for entities that report internally by operating segment, disclose segment revenue, profit/loss, assets, and liabilities consistent with internal management reporting ("management approach").

1.21 Bank & Cash Reconciliation

- Every bank feed transaction must be matched or flagged unmatched; no silent auto-posting of unreconciled items to a suspense account without a review queue.
- Reconciliation report must tie the book balance to the bank statement balance with itemized reconciling items (outstanding checks, deposits in transit, bank fees, unrecorded direct debits).
- Petty cash: imprest system rules — replenishment equals verified vouchers spent, with a physical count reconciliation at each replenishment.

1.22 Financial Statement & Close-Process Rules

- Trial balance must always balance before any statement generation; the system should block statement generation on an out-of-balance trial balance.
- Comparative period figures required (current vs. prior year) on every generated statement.
- Prepared under **IFRS** or **IFRS for SMEs**, as UAE law requires (see Part 2).
- Standard month-end/year-end close checklist the engine should drive: bank reconciliations complete → AR/AP sub-ledgers reconciled to control accounts → accruals and prepayments posted → depreciation/amortization run → inventory count reconciled → FX revaluation run → intercompany eliminations (if applicable) → provisions reviewed → tax provision calculated → trial balance reviewed → financial statements generated → period locked.

1.23 Ratio & Management Reporting Rules (value-add for an AI system)

- Auto-calculate standard ratios from the ledger for management dashboards: current ratio, quick ratio, gross margin, net margin, receivables/payables days, inventory days, debt-to-equity, interest coverage — always computed from closed/reconciled data, with a visible flag if the underlying period is still open/unreconciled so ratios aren't presented as final when they aren't.

1.24 Internal Controls / Audit Trail (system design rules)

- Role-based access control: separation of duties between entry, approval, and posting where entity size warrants it.
- Full immutable audit log: who changed what, when, before/after values.
- Approval workflows for payments above configurable thresholds.
- System-enforced maker-checker on journal entries above a materiality threshold.
- Segregation of the "create vendor/customer master data" function from the "approve payment" function to reduce fraud risk.

PART 2 — UAE FEDERAL TAX AUTHORITY (FTA) REGULATIONS

2.1 Regulatory Framework Overview

Law	Governs
Federal Decree-Law No. 8 of 2017 (as amended by Federal Decree-Law No. 16 of 2025, effective 1 Jan 2026)	Value Added Tax (VAT)
Federal Decree-Law No. 47 of 2022	Corporate Tax
Federal Decree-Law No. 28 of 2022	Tax Procedures Law
Federal Law No. 32 of 2021	Commercial Companies Law (bookkeeping obligation)
Cabinet Decision No. 129 of 2025 (effective 14 Apr 2026)	Revised administrative penalties
Ministerial Decisions No. 243 & 244 of 2025 (as amended May 2026)	E-invoicing mandate

The software should maintain a **regulatory version table** so tax logic can be updated without redeploying core code, since UAE tax rules change through Cabinet/Ministerial Decisions multiple times a year.

2.2 VAT Rules

- **Standard rate**: 5% on most goods and services.
- **Zero-rated (0%)**: e.g., exports outside GCC implementing states, international transport, first supply of residential real estate, certain healthcare/education, precious metals for investment — input VAT still recoverable.
- **Exempt**: e.g., bare land, local passenger transport, certain financial services, residential leasing (subsequent supplies) — input VAT is **not** recoverable on costs linked to exempt supplies.
- **Registration thresholds**:
  - Mandatory: taxable supplies + imports exceed **AED 375,000** in a rolling 12-month period (or expected in next 30 days).
  - Voluntary: taxable supplies/expenses exceed **AED 187,500**.
  - Non-resident suppliers: no threshold — must register on first taxable supply.
- **Designated Zones**: special VAT treatment for goods (not services) in zones like JAFZA, DAFZA, KIZAD — software should flag zone-based transactions for manual/rules-based review.
- **Tax invoice requirements** (must be validated by the system before an invoice is marked "valid for VAT purposes"): words "Tax Invoice," supplier name/address/TRN, invoice date, sequential invoice number, description of goods/services, unit price, quantity, VAT rate and amount per line, gross and net totals, and (for simplified invoices under AED 10,000) a reduced field set.
- **Input tax blocked** on: entertainment for non-employees, personal use of company vehicles, certain employee benefits — the system should have a rules engine to auto-flag these expense categories as non-recoverable.
- **Filing**: VAT returns are generally quarterly (some large taxpayers monthly), filed via EmaraTax, due by the 28th of the month following the tax period.
- **Reverse Charge Mechanism (RCM)**: applies to imports of goods/services and certain domestic supplies (e.g., specified metals) — output and input VAT self-accounted in the same return, net-zero cash effect but must be recorded.

- **Refunds**: excess input tax may be carried forward or refunded on request; refund claims must be made within the statutory window (input tax generally recoverable within 5 years).

2.3 VAT Penalty Framework (post-14 April 2026, Cabinet Decision No. 129/2025)

Violation	Penalty
Late registration	AED 10,000 flat
Late return filing (first occurrence)	AED 1,000
Late return filing (repeat within 24 months)	AED 2,000
Late payment	14% per annum (flat, replacing the old 2%+4%+1% compounding structure)
Voluntary disclosure of error	1% per month on the tax difference
Incorrect return	AED 500
Failure to maintain proper records	AED 10,000 (first), AED 20,000 (repeat)

The AI engine should compute and warn users of accruing penalty exposure in real time (e.g., days-late × applicable rate) rather than just flag "overdue."

2.4 Corporate Tax (CT) Rules

- **Legal basis**: Federal Decree-Law No. 47 of 2022, effective for financial years starting on/after 1 June 2023.
- **Rates**: 0% on taxable income up to **AED 375,000**; **9%** on taxable income above that threshold. This is a graduated structure within the same return, not a full exemption.
- **Qualifying Free Zone Persons (QFZP)**: 0% on "Qualifying Income" (subject to substance requirements, qualifying/excluded activity lists per Ministerial Decision 229/2025, and a de-minimis cap on non-qualifying revenue — the lower of 5% of total revenue or AED 5,000,000); 9% applies to non-qualifying income with no AED 375,000 relief.
- **Small Business Relief (SBR)**: resident persons with revenue ≤ AED 3,000,000 in the current and all prior tax periods may elect to be treated as having no taxable income (0% tax). It is an **election**, not automatic, made on the return. Currently legislated to run through periods ending on/before 31 December 2026 (confirm current sunset date at filing time).
- **Natural persons**: in scope only if UAE-sourced business turnover exceeds **AED 1,000,000** in a Gregorian calendar year.
- **Taxable income calculation**: starts from IFRS/IFRS-for-SMEs accounting profit, then applies specific adjustments:
    - Add back: fines/penalties, unlawful payments, non-deductible entertainment (50% deductible), expenses not wholly for business purposes, certain related-party interest beyond limits.
    - Deduct/exempt: qualifying dividends, participation-exemption income, foreign PE income (if elected), certain government grants.

    - Apply available tax losses (carried forward, subject to ownership-continuity/business-continuity tests) and any reliefs.
- **Transfer pricing**: related-party and connected-person transactions must be at arm's length; Master File/Local File documentation required above prescribed revenue/related-party transaction thresholds; disclosure form required with the CT return for all related-party transactions regardless of threshold.
- **Tax Groups**: multiple UAE entities under common ownership (≥95%) may elect to file as a single Tax Group; requires audited Special Purpose Financial Statements under Ministerial Decision No. 84 of 2025.
- **Filing & payment**: return and payment both due **9 months** after the end of the relevant tax period (e.g., FY ending 31 Dec 2025 → due 30 Sep 2026). Filing is mandatory even where tax due is zero (0% band, SBR election, or QFZP full exemption).
- **Mandatory audit triggers**: revenue above AED 50 million; QFZP status (any revenue level); Tax Groups (regardless of revenue).
- **Anti-abuse (General Anti-Abuse Rule, Art. 50)**: artificial business fragmentation to stay under SBR/registration thresholds can be reversed by the FTA, with back-tax and penalties. The software should flag related/common-ownership entities that individually sit just under AED 3,000,000 revenue as a compliance-risk signal, not auto-correct.

2.5 Record-Keeping Requirements

- **General rule**: maintain accounting records and supporting documents (invoices, contracts, bank statements, payroll, import/export docs) for **7 years** from the end of the relevant tax period (Corporate Tax Law) and **5 years** from the end of the relevant tax period (VAT Law) — apply the longer period (7 years) as the system default for any record that is dual-relevant.
- **Extended periods**: real estate-related records — **15 years**; capital asset records — **10 years**.
- **Transfer pricing documentation**: 7 years.
- **Format**: digital records are acceptable provided they are secure, accessible, and can be readily converted into a legible format on FTA request (some guidance references a short turnaround, e.g., within 48 hours, for document production during an audit — build a document-retrieval SLA feature).
- **Language**: FTA may require Arabic translations of records on request even if kept in English.
- Records must be sufficient for the FTA to independently verify tax positions on a "best judgment" basis if they are not — inadequate records risk an FTA-estimated assessment, typically unfavorable to the taxpayer.

2.6 E-Invoicing Mandate (Electronic Invoicing System — EIS)

- **Model**: Decentralized Continuous Transaction Control and Exchange (DCTCE), a "5-corner model": supplier → supplier's Accredited Service Provider (ASP) → buyer's ASP → buyer, with tax data reported to the FTA in near real time.
- **Format**: structured XML only, based on **Peppol PINT AE** (UAE's national Peppol specification, extended from UBL 2.1). PDFs, scanned images, and Excel files do **not** qualify as legally valid e-invoices once mandatory.

- **Mandatory data fields**: FTA technical guidance (Feb 2026) specifies **51 mandatory fields** for an electronic Tax Invoice and **49** for a commercial e-invoice.
- **Peppol Participant ID**: format `0235:` + the business's 10-digit TIN (first 10 digits of the 15-digit TRN).
- **Digital signature**: applied by the ASP as part of transmission — authenticity/integrity assured at the protocol layer (Peppol AS4).
- **QR codes**: optional in the UAE (unlike Saudi Arabia's ZATCA), may be added to human-readable copies.
- **Scope exclusions**: B2C transactions (currently out of scope), sovereign government acts not competing with the private sector, specific VAT-exempt financial services, and a temporary 24-month exclusion for certain international air transport documents.
- **Rollout timeline** (confirm exact dates against the latest Ministerial Decision before go-live, as extensions have already occurred once):
    - **1 Jul 2026**: voluntary pilot phase opens.
    - **~30 Oct 2026**: large businesses (revenue ≥ AED 50 million) must appoint an ASP.
    - **1 Jan 2027**: mandatory go-live for large businesses (≥ AED 50 million revenue).
    - **31 Mar 2027**: all remaining businesses must appoint an ASP.
    - **1 Jul 2027**: mandatory go-live for all other in-scope businesses.
    - **1 Oct 2027**: mandatory go-live for government entities.
- **Penalties**: Cabinet Decision No. 106 of 2025 (effective 26 Apr 2026) establishes the penalty framework — commonly cited exposure around **AED 5,000 per month** of non-compliance once mandatory (verify current figure at implementation time).
- **Software implication**: the invoicing/AR module must be able to (a) generate PINT AE-compliant XML, (b) integrate with an FTA-Accredited Service Provider via API, (c) maintain a fallback human-readable format, and (d) reconcile ASP transmission confirmations against the AR ledger.

2.7 Excise Tax (if applicable to the business)

- Applies to specific goods: tobacco (100%), carbonated drinks (50%), energy drinks (100%), sweetened drinks (50%), electronic smoking devices/liquids (100%).
- Registration is mandatory for any importer, producer, stockpiler, or warehouse-keeper of excise goods, with **no minimum threshold**.
- Returns filed monthly via EmaraTax.

2.8 Economic Substance & AML Considerations (adjacent obligations to flag, not core accounting)

- UAE Economic Substance Regulations (ESR) reporting obligations may apply to entities conducting "Relevant Activities" — software can flag entities by activity type for an ESR reporting reminder, though ESR filing itself has been phased down after CT introduction (verify current applicability).
- AML/CFT record-keeping (for regulated persons, e.g., DNFBPs) generally requires 5-year retention from the end of the business relationship — track separately from tax retention rules if the business is AML-regulated.

PART 3 — ACCOUNTING FORMULAS FOR IMPLEMENTATION (Website/App Reference)

Concrete formulas mapped to Part 1 and Part 2, written so they can be dropped directly into backend calculation functions (JS/TS/Python pseudocode style). Variable names are illustrative — align them to your actual schema.

3.1 Core Bookkeeping Checks

```
Accounting Equation:        Assets = Liabilities + Equity
Trial Balance Check:        SUM(all debit balances) = SUM(all credit
balances)
Account Running Balance:    balance = previous_balance + (debit - credit)
// for Dr-normal accounts
                             balance = previous_balance + (credit - debit)
// for Cr-normal accounts
```

3.2 Depreciation Formulas (IAS 16 + Zoho Books-style computation)

```
Straight-Line Method (SLM):
  Annual Depreciation = (Asset Cost - Salvage Value) / Useful Life (years)
  Monthly Depreciation = Annual Depreciation / 12
  Depreciation Rate (%) = 100 / Useful Life (years)

Declining Balance / Written Down Value (WDV) — Zoho Books style (rate
entered directly, not derived):
  Period Depreciation = Opening Net Book Value × Depreciation Percentage
  (Depreciation Percentage is user-input per asset, e.g., 12%, 15%, 20% —
not auto-derived from salvage value,
   matching how Zoho Books' Fixed Assets module takes
"depreciation_percentage" as a direct field)
  Alternative (derived) WDV rate, if computing from useful life instead of
a fixed input rate:
    Depreciation Rate (%) = 1 - (Salvage Value / Cost) ^ (1 / Useful Life)

Units of Production:
  Depreciation per Unit = (Cost - Salvage Value) / Total Estimated Units of
Output
  Period Depreciation = Depreciation per Unit × Units Produced in Period

Pro-Rata Basis (partial first/last period, as used when computation_type =
"prorata_basis"):
  First-Period Depreciation = Full-Period Depreciation × (Days Held in
Period / Total Days in Period)
  (Full-period basis, computation_type = "full_period", ignores the exact
start date and charges a full period regardless)

Net Book Value (NBV):
  NBV = Cost - Accumulated Depreciation
  (WDV method: next period's charge is always computed on the *new* NBV, so
depreciation naturally declines each period)

Gain/Loss on Disposal:
  Gain/(Loss) = Sale Proceeds - NBV at Disposal Date
  Write-off/Scrap (no proceeds): Loss = NBV at Disposal Date (full amount
expensed)
```

3.3 Intangible Amortization (IAS 38)

```
Annual Amortization = (Cost - Residual Value) / Useful Life
(Same mechanics as straight-line depreciation; indefinite-life intangibles:
amortization = 0, impairment test instead — see 3.5)
```

3.4 Inventory Costing (IAS 2)

```
FIFO Cost of Goods Sold:
  COGS = cost of the oldest inventory layers consumed, in receipt order

Weighted Average Cost (recalculated after each purchase — perpetual):
  New Weighted Avg Cost = (Existing Stock Value + New Purchase Value) /
(Existing Qty + New Qty)
  COGS (period) = Units Sold × Weighted Average Cost at time of sale

Lower of Cost and NRV:
  NRV = Estimated Selling Price - Estimated Costs to Complete - Estimated
Selling Costs
  Inventory Carrying Value = MIN(Cost, NRV)
  Write-down = Cost - NRV   (only if NRV < Cost)
```

3.5 Impairment (IAS 36)

```
Recoverable Amount = MAX(Fair Value less Costs to Sell, Value in Use)

Value in Use = Σ [ CF_t / (1 + r)^t ]   for t = 1 to n (discounted future
cash flows)
  where CF_t = expected net cash flow in period t, r = discount rate

Impairment Loss = Carrying Amount - Recoverable Amount   (only if Carrying
Amount > Recoverable Amount; floor at 0)
```

3.6 Expected Credit Loss / Bad Debt Provision (IFRS 9, simplified approach)

```
ECL Provision (per aging bucket) = Gross Receivable Balance (bucket) ×
Historical/Adjusted Loss Rate (bucket)
Total ECL Allowance = Σ ECL Provision across all aging buckets
Net Receivables (Balance Sheet) = Gross Trade Receivables - Total ECL
Allowance
Bad Debt Expense (period) = Total ECL Allowance (closing) - Total ECL
Allowance (opening) + Write-offs during period - Recoveries
```

3.7 Revenue Recognition (IFRS 15)

```
Allocated Transaction Price (per performance obligation):
  Allocated Price (PO_i) = Total Transaction Price × [ Standalone Selling
Price (PO_i) / Σ Standalone Selling Prices (all POs) ]

Percentage-of-Completion (revenue recognized over time, cost-to-cost
method):
  % Complete = Costs Incurred to Date / Total Estimated Contract Costs
  Revenue to Recognize to Date = % Complete × Total Contract Price
  Revenue (current period) = Revenue to Recognize to Date - Revenue
Recognized in Prior Periods

Contract Asset / (Liability):
```

```
  Contract Asset = Revenue Recognized to Date - Amount Billed to Date   (if
positive, i.e., unbilled revenue)
  Contract Liability = Amount Billed to Date - Revenue Recognized to Date
(if positive, i.e., deferred/unearned revenue)
```

3.8 Leases (IFRS 16)

```
Lease Liability (initial) = PV of Lease Payments = Σ [ Payment_t / (1 + i)^t
]   for t = 1 to n
  where i = interest rate implicit in the lease (or incremental borrowing
rate)

Interest Expense (period) = Opening Lease Liability × i
Principal Reduction (period) = Lease Payment - Interest Expense
Closing Lease Liability = Opening Lease Liability + Interest Expense -
Lease Payment

Right-of-Use (ROU) Asset (initial) = Initial Lease Liability + Payments
made at/before commencement
                                      + Initial Direct Costs - Lease
Incentives Received
ROU Depreciation (straight-line) = ROU Asset Cost / Lease Term (or useful
life if shorter/ownership transfers)
```

3.9 Foreign Currency (IAS 21)

```
Transaction Recording:  Functional Currency Amount = Foreign Currency
Amount × Spot Rate (transaction date)
Monetary Item Retranslation (period-end):
  Retranslated Value = Foreign Currency Balance × Closing Rate (reporting
date)
  FX Gain/(Loss) = Retranslated Value - Carrying Value (before
retranslation)
Foreign Operation Consolidation:
  Assets/Liabilities translated at Closing Rate
  Income/Expenses translated at Average Rate for the period
  Translation Difference → Other Comprehensive Income (Foreign Currency
Translation Reserve)
```

3.10 Provisions (IAS 37) — Discounted (Long-Term) Provisions

```
Provision (initial) = PV of expected future outflow = Expected Cash Outflow
/ (1 + r)^n
Unwinding of Discount (finance cost, period) = Opening Provision Balance ×
r
Closing Provision = Opening Provision + Unwinding of Discount - Payments
Made (+/- remeasurement adjustments)
```

3.11 Payroll & End-of-Service Benefits (UAE Gratuity Example — verify current Labour Law figures before coding)

```
Basic Salary–Based Gratuity (illustrative UAE unlimited-contract formula;
confirm current Federal Decree-Law No. 33 of 2021 rates):
  For 1–5 years of service:  Gratuity = (Basic Daily Wage × 21 days) ×
Years of Service
  For >5 years of service:   Gratuity = (Basic Daily Wage × 21 days × 5) +
(Basic Daily Wage × 30 days × (Years of Service - 5))
```

```
  Basic Daily Wage = Monthly Basic Salary / 30
  Accrued Gratuity Liability should be built up progressively each period,
not only calculated at exit:
    Monthly Gratuity Accrual = Projected Gratuity Entitlement (as of year-
end, pro-rated) / 12 (or actuarial estimate for larger entities)

Payroll Journal Split:
  Net Pay = Gross Salary + Allowances - Employee Deductions (statutory +
voluntary)
  Employer Cost = Gross Salary + Allowances + Employer Statutory
Contributions (e.g., pension for UAE/GCC nationals)
```

3.12 Financial Ratios (for dashboards/reports)

```
Liquidity:
  Current Ratio = Current Assets / Current Liabilities
  Quick Ratio (Acid Test) = (Current Assets - Inventory - Prepayments) /
Current Liabilities
  Cash Ratio = (Cash + Cash Equivalents) / Current Liabilities

Profitability:
  Gross Margin (%) = (Revenue - COGS) / Revenue × 100
  Net Margin (%) = Net Profit / Revenue × 100
  Return on Assets (ROA) = Net Profit / Average Total Assets × 100
  Return on Equity (ROE) = Net Profit / Average Shareholders' Equity × 100

Efficiency:
  Receivables (Debtor) Days = (Average Trade Receivables / Revenue) × 365
  Payables (Creditor) Days = (Average Trade Payables / COGS) × 365
  Inventory Days = (Average Inventory / COGS) × 365
  Cash Conversion Cycle = Receivables Days + Inventory Days - Payables Days

Leverage:
  Debt-to-Equity = Total Liabilities / Total Equity
  Interest Coverage Ratio = EBIT / Interest Expense

Per-Share (IAS 33, if applicable):
  Basic EPS = (Net Profit - Preferred Dividends) / Weighted Average
Ordinary Shares Outstanding
  Diluted EPS = (Net Profit - Preferred Dividends) / (Weighted Avg Ordinary
Shares + Dilutive Potential Shares)
```

3.13 Statement of Cash Flows (Indirect Method, IAS 7)

```
Cash Flow from Operations = Net Profit
  + Depreciation & Amortization
  + Impairment Losses
  ± Loss/(Gain) on Disposal of Assets
  ± Increase/(Decrease) in Provisions
  − Increase in Trade Receivables  (+ if decrease)
  − Increase in Inventory          (+ if decrease)
  + Increase in Trade Payables     (− if decrease)
  − Interest/Tax paid (if classified as operating)

Free Cash Flow = Cash Flow from Operations - Capital Expenditure
```

3.14 UAE VAT Formulas

```
Output VAT = Σ (Taxable Sales Value at each line × Applicable VAT Rate)
// 5% standard, 0% zero-rated, N/A exempt
Input VAT (Recoverable) = Σ (Taxable Purchases eligible for recovery × 5%)
// excludes blocked input tax categories
Net VAT Payable/(Refundable) = Output VAT - Input VAT
  If negative → refundable / carried forward

Reverse Charge Mechanism (RCM) entry:
  Output VAT (self-accounted) = Import/Specified Supply Value × 5%
  Input VAT (self-accounted, if recoverable) = same amount   // net cash
effect = 0, but both sides must be recorded

Late Payment Penalty (VAT, effective 14 Apr 2026 framework):
  Penalty = Unpaid Tax Amount × 14% × (Days Late / 365)
Voluntary Disclosure Penalty:
  Penalty = Tax Difference × 1% × Number of Months (or part thereof)
outstanding
```

3.15 UAE Corporate Tax Formulas

```
Taxable Income = Accounting Net Profit (per IFRS)
  + Non-Deductible Expenses (fines, 50% of entertainment, unlawful
payments, disallowed related-party interest)
  − Exempt Income (qualifying dividends, participation exemption)
  ± Other Schedule Adjustments (unrealized gains/losses if not elected,
transfer pricing adjustments)
  − Available Tax Losses Utilized (subject to carry-forward limits)

Corporate Tax Payable (standard taxable person):
  If Taxable Income ≤ AED 375,000:  Tax = 0
  If Taxable Income > AED 375,000:  Tax = (Taxable Income - 375,000) × 9%

Qualifying Free Zone Person (QFZP):
  Tax = (Qualifying Income × 0%) + (Non-Qualifying Income × 9%)
  De Minimis Check: Non-Qualifying Revenue ≤ MIN(5% × Total Revenue, AED
5,000,000)  → if exceeded, QFZP status may be lost for the whole period

Small Business Relief (if elected and eligible):
  Tax = 0   (where Revenue ≤ AED 3,000,000 in current and all prior tax
periods)

Effective Tax Rate = Total Corporate Tax Expense / Accounting Profit Before
Tax
```

3.16 Record Retention Countdown (utility formula for compliance alerts)

```
Retention Expiry Date = End of Relevant Tax Period + Retention Period
  (Retention Period = 7 years [general/CT], 5 years [VAT-only records], 10
years [capital assets], 15 years [real estate])
Days Remaining = Retention Expiry Date - Current Date   // trigger
archival/deletion review workflow when this nears 0
```

3.17 E-Invoicing Field Validation (utility, not a financial formula)

```
Invoice Valid for Submission =
  (All Mandatory Fields Present: 51 for Tax Invoice / 49 for Commercial
Invoice)
  AND (PINT AE / UBL Schema Validation = Pass)
  AND (Sum of Line Totals + VAT = Invoice Grand Total)
```

```
AND (Peppol Participant ID format = "0235:" + 10-digit TIN)
```

PART 4 — ZOHO BOOKS MODULE-BY-MODULE RULE PARITY

This section lists the accounting rules behind each functional module a Zoho Books-equivalent product needs, beyond the core ledger/IFRS rules already covered in Parts 1 and 3.

4.1 Sales Module Rules

- **Estimates/Quotes**: no accounting impact until converted to an invoice or sales order; track separately from the ledger (draft/sent/accepted/declined states).
- **Sales Orders**: no revenue recognized on order creation; revenue triggers only at invoice/delivery per IFRS 15 rules (Part 1.11).
- **Delivery Challans**: inventory movement without invoicing must reduce available (not owned) stock and require reconciliation once invoiced.
- **Invoices**: sequential gapless numbering (Part 1.4); support partial/multiple payments against one invoice, with a running "balance due."
- **Recurring Invoices**: auto-generate on schedule (daily/weekly/monthly/yearly), each occurrence independently numbered and posted as a normal invoice — never bulk-posted without individual audit trail.
- **Retainer Invoices**: money collected in advance must post to a **Retainer/Unearned Revenue liability account**, not to income; income is recognized only when the retainer is later applied against an actual invoice (Retainer Applied = Dr. Retainer Liability / Cr. Revenue).
- **Credit Notes**: must reference the original invoice; reduce AR and revenue (or go to a customer credit balance for future use); cannot exceed the remaining invoice balance (Part 1.4).
- **Payments Received**: apply against specific invoice(s) using FIFO-by-due-date or user-selected allocation; unapplied receipts sit in an "Advance from Customer" liability account until allocated.
- **Sales Channels/Multi-branch**: each branch/channel should be a dimension on the transaction (not a separate ledger) so consolidated and branch-level P&L can both be produced.

4.2 Purchases Module Rules

- **Purchase Orders**: no accounting entry on creation; used for three-way-match validation against the eventual bill (Part 1.5).
- **Bills**: mirror invoice rules — sequential internal reference, aging, partial payments.
- **Vendor Credits**: mirror credit note rules on the payables side; must reference original bill and cannot exceed its balance.
- **Recurring Bills**: same auto-generation logic as recurring invoices.
- **Expenses (non-inventory, e.g., travel, subscriptions)**: post directly to the relevant expense account; support "billable to customer" flagging that feeds back into that customer's next invoice (billable expense = an asset/receivable until re-invoiced, not an immediate markup to income).

- **Mileage Expenses**: rate × distance = expense amount; store the rate table so historical claims aren't distorted by later rate changes.
- **Landed Costs** (freight, customs, insurance on imported inventory): must be allocated across the received inventory items (by value or quantity) and added to inventory cost, not expensed directly — this affects COGS and inventory valuation (Part 1.9 / 3.4).

4.3 Banking Module Rules

- **Bank Feeds**: imported transactions are "unreviewed" by default; must be matched to an existing transaction, categorized to an account, or explicitly created as a new transaction — never auto-posted silently (Part 1.21).
- **Bank Rules (auto-categorization)**: a rules engine (vendor name contains X → category Y) may *suggest* categorization but a human (or a logged AI decision per Part 5.3) should confirm before posting, especially early in the rule's life.
- **Transfers between own accounts**: must never hit income/expense — always a balance-sheet-to-balance-sheet movement (Dr. Bank B / Cr. Bank A).
- **Reconciliation**: formal bank reconciliation statement required each period, tying book balance to statement balance (Part 1.21); once a period is reconciled, transactions within it should be lockable.

4.4 Inventory Module Rules

- **Items**: track SKU, cost method (FIFO/weighted average — Part 3.4), reorder level, and multi-warehouse/location stock quantities separately, with a consolidated on-hand figure.
- **Composite/Bundle Items**: cost = sum of component item costs at time of assembly; assembling a bundle should relieve component stock and increase bundle stock via an internal transfer, not a sale/purchase.
- **Backorders**: sales exceeding available stock should be trackable as a committed-but-unfulfilled quantity, not silently allowed to oversell inventory to negative without a flag.
- **Stock Adjustments**: any manual quantity/value correction must be a logged, reasoned transaction (damage, theft, count variance) — never a silent balance overwrite — posting to an inventory-adjustment expense account.
- **Price Lists**: support multiple customer-specific or volume-based price lists; the price list used must be captured on the transaction for margin analysis, not just referenced live (so historical invoices don't change if the price list changes later).

4.5 Projects & Time Tracking Module Rules

- **Timesheets**: log hours per project/task per staff member, flagged billable or non-billable.
- **Billable-hours-to-invoice**: Invoice Amount (time-based line) = Billable Hours × Hourly Rate (rate may be per-staff, per-project, or per-task — the applicable rate hierarchy must be deterministic and documented).
- **Project Budgets**: track budgeted hours/cost vs. actual, computing variance = Actual - Budget, and % utilized = Actual / Budget × 100, without blocking further logging (a project running over budget is a flag, not necessarily an error).

- **Project-linked retainers**: retainer invoices tied to a project should reduce the "available retainer balance" as billable time/expenses are applied against it (same liability logic as 4.1).

4.6 Fixed Assets Module Rules

- Covered in depth in Part 1.7 and Part 3.2 — summarized system requirements: asset creation from a bill, journal entry, or direct entry; SLM and WDV depreciation methods; monthly or yearly frequency; pro-rata or full-period computation basis; automatic recurring depreciation journal generation with a previewable schedule; disposal workflows (sale/write-off/scrap) with automatic gain/loss; asset categorization for reporting; role-based permissions on who can create/edit/dispose assets.
- **Cash-basis caveat**: depreciation is a non-cash accrual entry by nature — an entity reporting on a cash basis will never see depreciation flow into cash-basis P&L, so the system should clearly label depreciation reports as "accrual-basis only" rather than let a cash-basis user assume it's reflected in their cash P&L.

4.7 Budgeting Module Rules

- Budgets set per account (or account + department/branch dimension) per period (monthly/quarterly/annually).
- Budget vs. Actual Variance = Actual Amount - Budgeted Amount; Variance % = Variance / Budgeted Amount × 100.
- Budgets should never post to the ledger themselves — they are a comparison overlay on actual GL data, kept in a separate budget table.

4.8 Multi-Currency Module Rules

- Every transaction stores: transaction currency, exchange rate, rate date/source, and base-currency equivalent (Part 1.3, 1.13, 3.9).
- **Realized FX Gain/Loss**: recognized when a foreign-currency invoice/bill is settled, comparing the rate at invoice date vs. rate at payment date, applied to the settled amount.
- **Unrealized FX Gain/Loss**: recognized at period-end by revaluing *open* foreign-currency balances (AR, AP, bank) at the closing rate — reversed at the start of the next period so it doesn't double-count once realized.
- Exchange rates should be pullable from a rate-provider integration but must remain manually overridable with the override logged (for audit and for jurisdictions requiring a specific official rate, e.g., UAE Central Bank rate for FTA purposes).

4.9 Tax Configuration Module Rules

- Support multiple simultaneous tax regimes if the entity operates cross-border (e.g., UAE VAT + GCC counterpart), with each transaction line tagged to exactly one applicable tax rule (standard/zero-rated/exempt/out-of-scope — Part 2.2).
- Tax rates must be date-effective (versioned), so a rate change (e.g., a future VAT rate change) doesn't alter the tax treatment of historical transactions.

- Composite/compound tax support (tax-on-tax) for jurisdictions that require it, even though UAE VAT itself is not compounded.

4.10 Documents, Approvals & Client Portal Rules

- Document attachments (bills, receipts, contracts) linked immutably to their source transaction for audit trail — must satisfy the 7-year UAE retention rule (Part 2.5).
- Multi-level approval workflows for bills/expenses above configurable thresholds (Part 1.24), with approval status as part of the transaction's audit history, not a side note.
- Client/vendor portal transactions (external party views/approves/pays an invoice) must write back into the same ledger transaction — no parallel "portal-only" record that can drift from the books.

4.11 Period-Close / Books-Closing Rules

- **Transaction Locking**: once a period is closed, no new transactions or edits should be allowed within it without an explicit "edit after lock" permission that logs who reopened it and why (Part 1.3, 1.22).
- **Closing checklist enforcement**: the system should not allow "lock period" until the standard close checklist (Part 1.22) shows all steps complete, or require an explicit override with reason.
- Year-end closing entries: transfer all income and expense account balances to Retained Earnings; opening balances for the new year roll forward only balance-sheet accounts.

4.12 Reporting Module — Standard Report Set to Support

- Profit & Loss (P&L) / Income Statement, Balance Sheet, Cash Flow Statement, Trial Balance, General Ledger, Journal Report.
- AR Aging Summary/Detail, AP Aging Summary/Detail, Sales by Customer/Item, Purchases by Vendor/Item, Inventory Summary/Valuation, Expense by Category, Budget vs. Actual, Sales Tax/VAT Summary (by rate and by transaction), Fixed Asset Schedule/Register, Project Profitability.
- Every report must be generable for any custom date range, with drill-down from a summary figure down to the individual posted transaction (a non-negotiable audit requirement, not just a UX nicety).

PART 5 — RULES ENGINE DESIGN NOTES FOR THE AI SOFTWARE

1. **Separate the tax logic from the ledger engine.** Store VAT/CT rules as versioned, date-effective configuration (rate, thresholds, penalty formulas) rather than hard-coded constants, since these change via Cabinet/Ministerial Decision multiple times a year.
2. **Never let AI auto-file or auto-submit** a VAT/CT return, e-invoice batch, or payment without human approval — AI should prepare, calculate, and flag anomalies; a human remains the accountable filer under UAE Tax Procedures Law.

3. **Maintain a decision log for every AI-suggested classification** (e.g., "input tax blocked — entertainment expense") so it can be reviewed and overridden, feeding the audit trail.
4. **Build a threshold-monitoring dashboard**: rolling 12-month taxable turnover (VAT), rolling revenue vs AED 3,000,000 (SBR) and AED 375,000/AED 50,000,000 (CT bands and audit trigger), updated continuously rather than only at period-end.
5. **Cross-check VAT and CT data automatically** — the FTA explicitly uses inconsistencies between VAT returns and CT filings as an audit-selection trigger, so reconciliation between the two should be a built-in report, not an afterthought.
6. **Design for e-invoicing readiness now**: even before your customer's mandatory phase, architect invoice generation so a PINT AE/XML export and ASP integration can be added without re-platforming AR.
7. **Localize retention policy per record type** using the longest applicable period (7 years general / 10 years capital assets / 15 years real estate) rather than a single global retention setting.
8. **Flag, don't resolve, anti-abuse risk patterns** (e.g., commonly-owned entities each under the SBR revenue threshold) — this is a legal judgment call for the business's tax advisor, not something the software should silently optimize toward.